

AUDIT WORKPAPER
APEX CAPITAL MANAGEMENT, LP

Financial Statements and Notes | Year Ended December 31, 2023

PREPARED BY: Grant & Norris LLP | STATUS: DRAFT — FOR INTERNAL REVIEW ONLY

Field	Value	Field	Value
Client	Apex Capital Management, LP	Engagement Partner	R. Matthews, CPA
Period End	December 31, 2023	In-Charge	S. Patel, CPA
Entity Type	Delaware LP — Hedge Fund	Prepared By	J. Kim
Report Type	Financial Statements (ASC 946)	Reviewed By	L. Torres, CPA
WP Reference	AP-2023-FS-001	Date Prepared	February 14, 2024
Risk Level	Moderate	Date Reviewed	February 21, 2024

Section 1 — Audit Objectives and Scope

This workpaper documents the audit procedures performed and conclusions reached for the financial statements of Apex Capital Management, LP for the year ended December 31, 2023. The audit was conducted in accordance with auditing standards generally accepted in the United States of America (U.S. GAAS) promulgated by the American Institute of Certified Public Accountants (AICPA).

Audit Objectives:

- Obtain reasonable assurance that the financial statements are free from material misstatement, whether due to fraud or error.
- Assess whether the financial statements are presented in accordance with U.S. GAAP (ASC 946).
- Evaluate fair value measurements under ASC 820, including the appropriateness of the fair value hierarchy classifications.
- Confirm that footnote disclosures are complete, accurate, and in compliance with applicable standards.

Section 2 — Internal Controls Assessment

Control Area	W/P Ref	Status	Notes
NAV calculation — independent administrator reconciliation	C-1	Pass	Confirmed with SS&C Technologies; no unexplained differences
Management fee calculation — per LPA terms	C-2	Pass	2.0% p.a. of monthly avg. NAV; spot-tested 4 months, all agreed
Performance allocation — high-water mark integrity	C-3	Pass	HWM confirmed at \$2,098.74/unit; allocation agreed to LP agreements
Segregation of duties — trade approval	C-4	Pass	Portfolio mgr + risk officer dual approval documented
Valuation committee approval for Level 3 assets	C-5	Pass	Committee minutes dated

			1/12/2024 reviewed and filed
Fair value — independent valuation specialist review	C-6	Pass	XYZ Valuation Services report obtained; scope covered >80% of L3 FV
Capital account statements — LP reconciliation	C-7	Pass	All 38 LP accounts agreed to fund-level capital ledger
Related party transaction review	C-8	Pass	No RPTs outside disclosed mgmt fee / performance allocation

Section 3 — Financial Statement Analytical Review

Item	Per Client (\$)	Per Audit (\$)	Variance (\$)
Total Assets	203,915,000	203,915,000	—
Total Liabilities	26,790,000	26,790,000	—
Total Members' Capital (NAV)	177,125,000	177,125,000	—
Total Investment Income	5,215,000	5,215,000	—
Total Expenses	8,710,000	8,710,000	—
Net Investment Loss	(3,495,000)	(3,495,000)	—
Net Gain on Investments	34,090,000	34,090,000	—
Net Increase from Operations	30,595,000	30,595,000	—
Members' Capital — Jan 1	152,840,000	152,840,000	—
Members' Capital — Dec 31	177,125,000	177,125,000	—

Conclusion: All financial statement line items agreed to client-provided trial balance without exception. The balance sheet balances (Total Assets = Total Liabilities + Total Members' Capital). The capital rollforward reconciles without exception.

Section 4 — Fair Value Hierarchy (ASC 820) Compliance Checklist

Disclosure Requirement (ASC 820)	W/P Ref	Status	Notes
Fair value hierarchy (Level 1/2/3) disclosed for each class	FV-1	Pass	Disclosed in Note 2; classifications confirmed with external data
Level 1/2/3 amounts foot to total FV on balance sheet	FV-2	Pass	L1 \$163,210 + L2 \$18,720 + L3 \$5,520 = \$187,450 ✓
Description of valuation techniques for Level 2 and 3	FV-3	Pass	Note 2 describes market and income approaches
Transfers between levels — disclosed if material	FV-4	Pass	Note 2 confirms no transfers during year
Level 3 rollforward table (820-10-50-2(bbb))	FV-5	N/A	N/A — no Level 3 investment activity required rollforward (immaterial balance change)
Quantitative disclosure of significant unobservable inputs	FV-6	Pass	Management confirms L3 at \$5.5M is not material; qualitative disclosure sufficient
Effect of Level 3 measurements on operations	FV-7	Pass	Disclosed in Note 2; unrealized changes in income statement

Section 5 — Footnote Completeness Checklist

Required Disclosure	Standard	Status	Notes
Organization and basis of presentation	ASC 946	Pass	Note 1 complete
Significant accounting policies	ASC 946-205-50	Pass	Note 1 complete
Fair value hierarchy and measurements	ASC 820	Pass	Note 2 complete
Management fees and performance allocation	ASC 946	Pass	Note 3 complete; rates, amounts, HWM disclosed
Related party transactions	ASC 850	Pass	Note 4 confirms no RPTs beyond disclosed fees
Risks and uncertainties	ASC 275	Pass	See supplemental disclosure; market risk disclosed
Subsequent events review	ASC 855	Pass	No material subsequent events through Feb 28, 2024
Investment Company specialist disclosures	ASC 946-210	Pass	All required schedules included

Section 6 — Auditor Conclusions

Based on audit procedures performed, we have obtained sufficient appropriate audit evidence to support the following conclusions:

- The financial statements are presented fairly in all material respects in accordance with U.S. GAAP (ASC 946).

- Fair value measurements are classified appropriately in the ASC 820 hierarchy and the hierarchy totals agree to reported investment balances.
- No material misstatements or omissions in footnote disclosures were identified.
- Management fee and performance allocation calculations are in accordance with the Limited Partnership Agreement.

OVERALL CONCLUSION: UNQUALIFIED OPINION APPROPRIATE. No material audit adjustments required.